INTERNATIONAL MONETARY FUND AND
INTERNATIONAL DEVELOPMENT ASSOCIATION

CAMEROON

Joint IMF/World Bank Debt Sustainability Analysis[12]

Prepared by the staffs of the International Monetary Fund and
the International Development Association

May 30, 2007

Introduction

1. **This report updates the debt sustainability analysis (DSA) for low-income countries (LIC)**[13] **prepared in April 2006 (Country Report No. 06/190, Appendix I).** Three key differences underpin the results of this update relative to the previous DSA: (i) This DSA uses an updated debt database on the existing debt, assuming the full delivery of HIPC and MDRI debt relief; (ii) it includes debt service to France under the C2D initiative in the debt service payments on a net basis; and (iii) the 2007 projections of GDP and exports have been revised based on new information.

2. **The debt stock at end-2006 has been revised downward.** Compared with the estimates in Country Report No. 06/190, the end-2006 stock of external debt was smaller reflecting front-loaded relief and additional bilateral cancellations. Repayments of domestic debt in 2006 were also higher than envisaged in the 2006 arrears repayment plan.

Cameroon: Debt Outstanding, 2006
(Millions of US dollars)

	Country Report No. 06/55.	Actual	Difference
External debt	2,369	2,094	-275
Domestic debt	2,444	1,710	-734
Total	4,813	3,804	-1,009

Sources: Cameroonian authorities and Bank-Fund staff estimates.

[12] This debt sustainability analysis has been prepared jointly by the staffs of the World Bank and IMF, using the low income country DSA template.

[13] *Applying the Debt Sustainability Framework for Low-Income Countries Post Debt Relief* www.imf.org and *Review of Low-Income Country Debt Sustainability Framework and Implications of the Multilateral Debt Relief Initiative (MDRI)*) www.imf.org.

Debt indicators post-HIPC and MDRI debt relief

3. **In staff's view, Cameroon faces a low risk of debt distress**. Cameroon's external debt levels are expected to remain well below their indicative thresholds for debt distress both under the baseline scenario and under various stress tests throughout the projection period. Following debt relief under HIPC and MDRI on *external debt,* Cameroon's debt-related indicators at end-2006 fell substantially below its policy-dependent thresholds. Nominal external debt declined from US$ 6.5 billion in 2005 to US$2.1 billion in 2006, or from 39 to 11 percent of GDP. Following substantial repayments, Cameroon's *domestic debt* declined from US$ 2.3 billion in 2005 to US$ 1.7 billion by end-2006, or from 14 to 9 percent of GDP. As a result, public debt—external and domestic— declined from US$ 8.9 billion to US$ 3.8 billion, or from 53 to 21 percent of GDP in the past two years.

4. **The NPV of external debt-to-exports ratio at end 2006 has changed insignificantly relative to the Completion Point document.** Compared with the projections prepared for the HIPC Completion Point in April 2006, the estimate of the NPV of debt-to-exports ratio for end 2006 increased by 0.7 percentage points owing mainly to the changes in the exchange rates, higher than anticipated disbursements, and the use of annual exports instead of a three-year backward looking moving average.

Cameroon: Evolution of the NPV of Debt-to-Export Ratio, from HIPC Completion Point to end-2006

	Percentage points
NPV of debt-to-exports ratio (as projected in Country Report No. 06/190)	12.8
Total change in ratio	2.9
1. Due to changes in the parameters	0.7
Of which: due to changes in the discount rates	-0.8
due to changes in the exchange rates	1.5
2. Due to unanticipated new borrowing	-1.4
Of which: due to higher-than-expected disbursements	-1.8
due to lower concessionality of the loans	0.4
3. Due to unanticipated change in exports	0.1
4. Other factors	3.6
NPV of debt-to-exports ratio	15.7
5. Using annual exports	2.2
NPV of debt-to-annual exports ratio	13.5

Sources: Bank-Fund staff estimates.

5. **The authorities are in the process of finalizing bilateral agreements on debt cancellation with Paris Club creditors.** As of March 1, 2007, eight such agreements had already been signed. Agreements with France, Germany, Sweden, Switzerland were pending at that point but were expected to be signed in the near future. The authorities are still, expecting the official proposal from the United Kingdom. Because of the delays in finalizing the bilateral agreements, the Paris Club creditors agreed to postpone the deadline for signing of such agreements from December 31, 2006 to June 30, 2007.

Cameroon: Stock of Public Debt, 2005-2006						
	In millions of US$		In percent of total		In percent of GDP	
	2005	2006	2005	2006	2005	2006
Total	8,880	3,804	100.0	100.0	52.6	20.6
External debt	6,531	2,094	73.6	55.0	38.7	11.3
Multilateral	1,946	394	21.9	10.4	11.5	2.1
IMF	287	7	3.2	0.2	1.7	0.0
IDA	1,083	157	12.2	4.1	6.4	0.9
AfDF	221	38	2.5	1.0	1.3	0.2
EU	103	38	1.2	1.0	0.6	0.2
Other	252	153	2.8	4.0	1.5	0.8
Bilateral	4,190	1,545	47.2	40.6	24.8	8.4
Paris Club	4,123	1,505	46.4	39.6	24.4	8.1
Of which: France [1]	1,634	1,324	18.4	34.8	9.7	7.2
Non Paris Club	66	40	0.7	1.1	0.4	0.2
Commercial	396	155	4.5	4.1	2.3	0.8
Domestic debt	2,348	1,710	26.4	45.0	13.9	9.2

Sources: Cameroonian authorities and Bank-Fund staff estimates.

[1] The C2D debt relief is disbursed in semiannual installments; debt service on this debt category is paid by Cameroon as scheduled and is offset by an equivalent grant from the creditor.

6. **The DSA is based on data provided by Cameroon's main multilateral creditors and by the authorities on the remaining creditors.** The quality of data on Cameroon's public debt has improved but remains uneven, in particular on private sector and public enterprise debt, and the structure of debt is complex (Figure 1).

Macroeconomic assumptions

7. **Key macroeconomic assumptions underlying this DSA are broadly the same as in Country Report No. 06/190.** Real GDP growth is expected to accelerate to 6 percent in 2011 reflecting economic stimulus from increased capital spending, the implementation of structural reforms under the PRGF-supported program, and investment in infrastructure and energy with support of the World Bank. Over the long-term, growth in the non-oil economy is expected to stabilize at about 5.5 percent, while oil GDP will gradually decline. On average, the projected growth rate is about 1 percentage point higher than the historical average on the account of higher investment financed by debt relief. Oil production is assumed to increase slightly in 2007, and then decline by 5 percent in 2008, 2-3 percent thereafter. Inflation is assumed to hold steady at 2 percent over the long-term, in line with recent historical experience. Fiscal policy would be supportive of economic growth and poverty reduction. Nonoil revenues are expected to rise from 12 percent of GDP in 2006 to 15 percent at the end of the projection period, reflecting tax and customs administration measures. Government expenditure is expected to rise steadily before declining to the more sustainable level of 17 percent of GDP in the outer years. Exports of goods and services are projected to gradually decline over time reflecting the decline in petroleum

exports. As a result, the current account deficit, including grants, is expected to increase to about 7 percent of GDP over the medium-term, and gradually improve thereafter. The deterioration in the current account is larger than was earlier envisaged reflecting lower oil prices. The deficit is expected to be financed through foreign direct investment, private capital flows, and loans, a mixture of which will be from IDA and the rest from other creditors on less concessional terms.

8. **Assumptions related to new borrowing and debt relief have been updated.** New public borrowing is assumed to increase gradually over the medium term to help finance new investment. External borrowing is expected to rise gradually to 1.8 percent of GDP in 2015 and then to gradually decline to about 1 percent by 2027. IDA borrowing is assumed to constitute 47 percent of new borrowing, with the remainder loans originating from other multilateral and bilateral creditors on less concessional terms. Cameroon is projected to graduate from IDA in 2010. Starting from that year, new lending on concessional IDA terms will be gradually phased out. Other providers of concessional assistance are assumed to take similar action. Debt relief under the Debt Settlement and Development Contract (C2D), a bilateral debt relief initiative by France, will be provided in 2007-2011 under the terms and conditions of the Convention signed between France and Cameroon in April 2006, and thereafter on comparable terms and conditions. Under the Convention, Cameroon has to repay the amounts falling due, which are then reimbursed by France within the same quarter. The DSA assumes full delivery of assistance under the CD2 and additional bilateral debt relief provided by end-2006.

External debt sustainability

9. **External debt is sustainable over the long run.** Cameroon ranks as a "medium performer" in terms of the quality of its policies and institutions as measured by the three-year backward looking average World Bank's Country Policy and Institutional Assessment (CPIA) index. [14] As is common for all DSA, for the post-completion point period, the relevant sustainability thresholds[15] have been used only as guideposts for informing debt sustainability assessment and not as ceilings. Although debt indicators increase over the longer term, reflecting additional borrowing to meet the country's development needs and reduced concessionality from 2010 onwards, the sustainability thresholds on external debt are not breached under the baseline nor under any of the alternative scenarios throughout the projection period. . Therefore, the risk of debt distress will remain low assuming that GDP and export growth in the nonoil sector remain robust in the long run, and the authorities maintain a prudent fiscal and borrowing policies. The residual captures mainly private capital flows .

[14] Preliminary findings of the 2006 CPIA round suggest that its CPIA could decline from 3.3 to 3.2, thus bringing Cameroon in the group of the weak performer. Nevertheless, Cameroon would still remain in a low risk of debt distress in the baseline scenario and at least until 2017 for most indicators in stress tests.

[15] The following indicative thresholds for external debt sustainability applied to external debt burden indicators for countries that are medium performers in terms of quality of policies and institutions: the NPV of debt-to-exports ratio of 150 percent, the NPV of debt-to-GDP ratio of 40 percent, the NPV of debt-to-revenue ration of 250 percent, he debt service-to-exports ratio of 20 percent, and the debt service-to- revenue ratio of 30 percent.

10. **Debt sustainability could worsen as a result of adverse exogenous shocks and unfavorable policy scenarios.** The scenario of lower GDP growth assumes that real growth in 2007-08 is one standard deviation below its historical average. As lower growth has a negative net effect on public finances, the government closes the ensuing financing need through borrowing. Hence, the NPV of debt-to-GDP ratio rises steadily over time and eventually levels off. The scenario of lower export growth assumes that export growth in 2007-08 is one standard deviation below its historical average. As a result, the NPV of debt-to-exports and the debt service-to-exports ratios rise above the baseline leveling off towards the end of the projection period. This scenario of new borrowing on less concessional terms assumes that the interest rate on new borrowing in 2007-2027 is two percentage points higher than in the baseline. As a result, all debt ratios will start deteriorating, but none of them will exceed the indicative thresholds. In the case of Cameroon, the historical average scenario reflects past current account surpluses that are not foreseen throughout the projection period. As a consequence, the country's external debt burden indicators would seem more optimistic, under the historical average scenario than under the baseline scenario.

11. **Possible litigation by private nonparticipating creditors remains a risk to the credibility of the authorities' debt policies** Twenty-two commercial creditors, holding about 20 percent (US$240 million in claims, including US$78 million principal) of the total debt to commercial creditors in August 2003, did not accept the buy-back deal, and some sold claims in the secondary market. Five commercial creditors (Winslow Bank, Del Favero SPA, Sconset Ltd., Antwerp, and Grace Church Capital) have pursued legal recourse through litigation and seizure of Cameroonian assets abroad. The authorities are in contact with other creditors. In early 2005, Winslow sued, and under a court ruling seized US$50 million from Cameroon's state oil company's deposits in France, while Del Favero froze the account of the Cameroonian embassy in London.. The negotiations with Sconset and Antwerp continue. These creditors have already accepted to drop their claim of accumulated interest but insist on the full repayment of the principal and of all representation charges and court fees. Grace Church Capital has agreed to start negotiations with a view to reach an out-of-court settlement. As the absolute amount of claims by private creditors is less than 1 percent of Cameroon's GDP, most likely they can not have a significant impact of debt sustainability.

Public debt sustainability

12. **Cameroon's public debt has declined considerably.** The decrease is driven by large cancellations of external debt (see above) and frontloaded domestic debt repayments. Building on the results of comprehensive audit for the end-2004 stock of domestic debt, the government repaid substantial amounts, which helped reduce domestic debt from 17 percent of GDP in 2004 to 9 percent of GDP by end-2006. The debt repayment plan prepared by the authorities implies substantial additional repayments of domestic debt in the next several years.

13. **The long-term fiscal strategy is anchored on preserving the overall public debt sustainability.** Consistent with this objective, the nonoil primary deficit is expected to gradually

decline over the longer term to about 1 percent owing to additional nonoil revenue mobilization. New borrowing will amount to 1.5 percent of GDP annually during 2007-16, consistent with the country's absorption capacity and then declining to about 1 percent. Under these assumptions, the NPV of public debt in percent of revenues is expected to remain broadly stable over time with some reduction in the outer years. Debt service is expected to be reduced considerably over time.

14. **Alternative scenarios and stress tests yield a significant deterioration of the public debt outlook.** Any scenario implying new annual borrowing in excess of 3 percent of GDP would result in an explosive and unsustainable path. Terms of new borrowing are assumed the same as in the baseline scenario. Historical experience suggests that the government has been unable to use scaled up foreign financed investment exceeding 2 percent annually. If compounded with lower than projected GDP, exports, and fiscal revenue growth aggressive upfront borrowing, even on concessional terms, will lead to an unsustainable debt buildup.

15. **Weak domestic debt management may pose program risks**. Nonresident investors may increasingly be involved in trading in Cameroon's domestic debt on the secondary market, although so far such transactions have not been significant..

Conclusion

16. **After the full delivery of debt relief Cameroon faces a low risk of debt distress.** All external debt indicators remain below the relevant country-specific debt burden thresholds. Alternative scenarios and stress tests reveal an upward trend for the debt indicators but do not result in a breach of the thresholds during the projection period. Therefore, the authorities should monitor closely debt indicators and avoid excessive borrowing on nonconcessional terms over the medium term.

Figure 1. Cameroon: Simplified Debt Structure

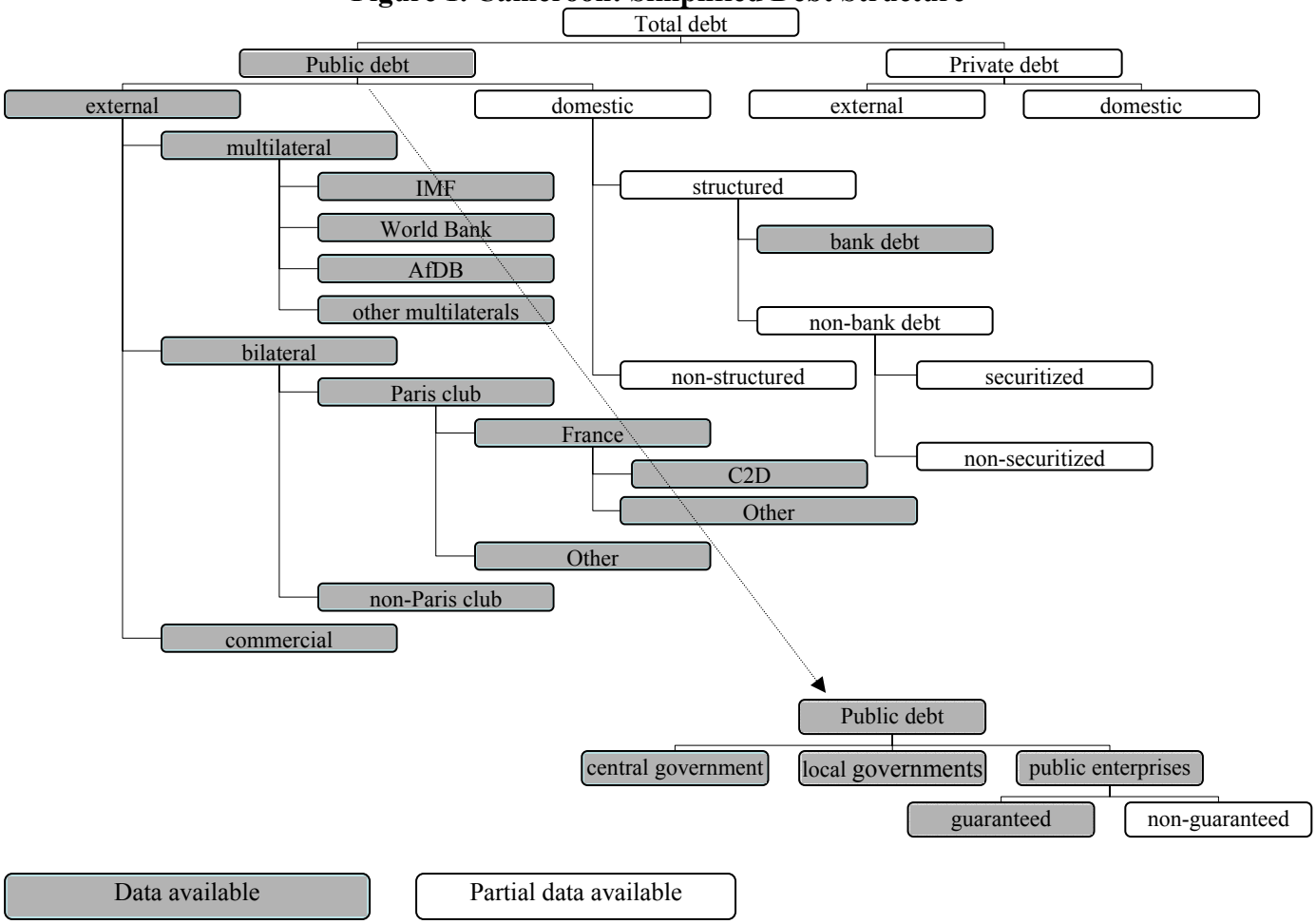
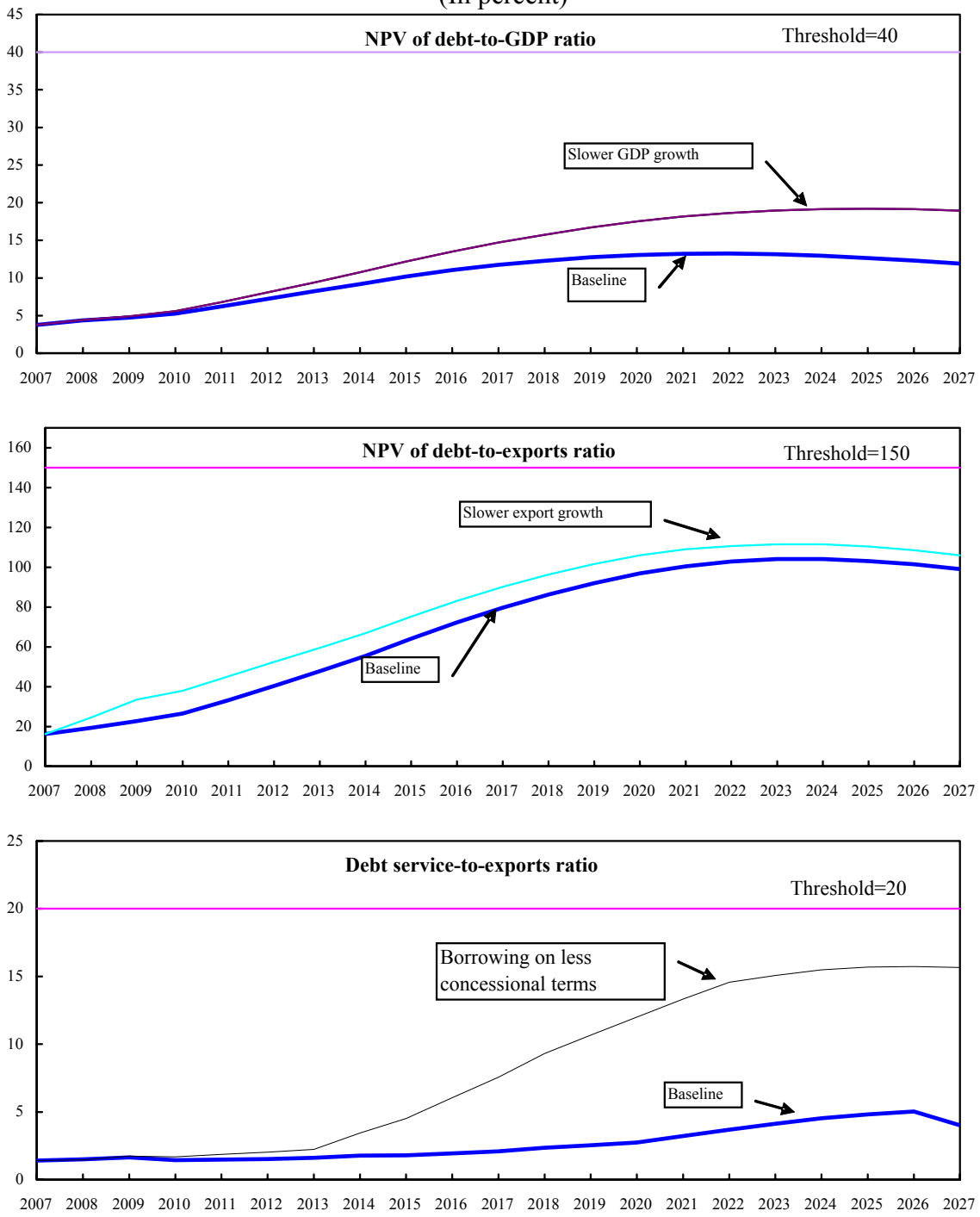


Figure 2. Cameroon: Indicators of Public and Publicly Guaranteed External Debt Under Alternative Scenarios, 2007-27
(In percent)



Source: Staff projections and simulations.

Table 1. Cameroon: External Debt Sustainability Framework, Baseline Scenario, 2007-27 1/
(In percent of GDP, unless otherwise indicated)

	Actual	Historical Average 6/	Standard Deviation 6/	Projections									
	2006			2007	2008	2009	2010	2011	2012	2007-12 Average	2017	2027	2012-26 Average
External debt (nominal) 1/	**5.0**			**5.6**	**6.7**	**7.4**	**8.3**	**9.2**	**10.0**		**13.7**	**11.3**	
o/w public and publicly guaranteed (PPG)	4.9			5.5	6.6	7.3	8.2	9.1	10.0		13.7	11.3	
Change in external debt	-31.8			0.6	1.1	0.7	0.9	0.9	0.9		0.5	-0.6	
Identified net debt-creating flows	-2.8			2.2	3.3	4.3	5.0	5.6	6.2		7.0	4.4	
Non-interest current account deficit	**0.6**	**1.3**	**1.9**	**2.4**	**3.5**	**4.6**	**5.4**	**6.0**	**6.6**		**7.5**	**5.0**	6.7
Deficit in balance of goods and services	2.5			4.9	5.8	6.8	7.3	7.8	8.2		8.9	5.7	
Exports	26.0			23.3	22.5	20.8	19.8	18.8	17.9		14.7	12.0	
Imports	28.4			28.2	28.3	27.6	27.1	26.6	26.1		23.6	17.7	
Net current transfers (negative = inflow)	-1.4	-1.3	0.4	-2.1	-1.8	-1.7	-1.5	-1.3	-1.2		-0.9	-0.5	-0.8
Other current account flows (negative = net inflow)	-0.5			-0.4	-0.4	-0.4	-0.4	-0.4	-0.4		-0.4	-0.2	
Net FDI (negative = inflow)	**-0.7**	**-0.2**	**0.2**	**-0.2**	**-0.1**	**-0.1**	**-0.1**	**-0.1**	**-0.1**		**-0.1**	**0.0**	-0.1
Endogenous debt dynamics 2/	**-2.7**			**-0.1**	**-0.1**	**-0.2**	**-0.3**	**-0.3**	**-0.3**		**-0.5**	**-0.6**	
Contribution from nominal interest rate	0.2			0.1	0.1	0.1	0.1	0.1	0.1		0.2	0.0	
Contribution from real GDP growth	-1.3			-0.2	-0.2	-0.3	-0.4	-0.4	-0.4		-0.6	-0.6	
Contribution from price and exchange rate changes	-1.6			…	…	…	…	…	…		…	…	
Residual (3-4) 3/	**-28.9**			**-1.6**	**-2.2**	**-3.6**	**-4.1**	**-4.7**	**-5.3**		**-6.5**	**-5.0**	
o/w exceptional financing	-1.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
NPV of external debt 4/	3.6			3.8	4.4	4.8	5.3	6.3	7.3		11.8	11.9	
In percent of exports	13.7			16.4	19.5	22.9	26.8	33.4	40.5		80.0	99.3	
NPV of PPG external debt	**3.5**			**3.8**	**4.4**	**4.7**	**5.3**	**6.2**	**7.2**		**11.7**	**11.9**	
In percent of exports	13.5			16.2	19.4	22.7	26.6	33.2	40.3		79.7	99.1	
Debt service-to-exports ratio (in percent)	2.8			1.7	1.7	1.9	1.7	1.7	1.8		2.4	4.2	
PPG debt service-to-exports ratio (in percent)	2.4			1.4	1.5	1.7	1.4	1.5	1.5		2.1	4.0	
Total gross financing need (billions of U.S. dollars)	0.1			0.5	0.8	1.1	1.4	1.7	2.0		3.2	4.7	
Non-interest current account deficit that stabilizes debt ratio	32.3			1.8	2.4	3.9	4.5	5.1	5.7		7.1	5.7	
Key macroeconomic assumptions													
Real GDP growth (in percent)	3.8	3.9	1.1	4.5	4.5	4.8	5.5	5.4	5.3	5.0	5.2	5.4	5.3
GDP deflator in US dollar terms (change in percent)	4.6	3.7	9.0	5.0	2.2	2.0	2.4	2.7	2.6	2.8	2.0	2.0	2.0
Effective interest rate (percent) 5/	0.5	4.1	2.3	2.6	2.4	2.1	1.8	1.7	1.6	2.0	1.5	0.0	1.4
Growth of exports of G&S (US dollar terms, in percent)	20.2	7.8	10.0	-1.6	3.2	-1.0	2.5	2.9	3.1	1.5	3.5	6.4	4.6
Growth of imports of G&S (US dollar terms, in percent)	8.6	7.0	4.7	8.8	7.1	4.4	6.0	6.3	6.2	6.5	4.6	4.4	4.7
Grant element of new public sector borrowing (in percent)	...	...	...	41.0	41.1	41.4	41.4	14.7	14.7	32.4	14.7	14.7	14.7
Memorandym item:													
Nominal GDP (billions of US dollars)	18.3			20.1	21.5	23.0	24.8	26.9	29.0		41.5	84.9	

Source: Staff simulations.

1/ Includes both public and private sector external debt, excludes C2D
2/ Derived as [r - g - r(1+g)]/(1+g+r+gr) times previous period debt ratio, with r = nominal interest rate; g = real GDP growth rate, and r = growth rate of GDP deflator in U.S. dollar terms.
3/ Includes exceptional financing (i.e., changes in arrears and debt relief); changes in gross foreign assets; and valuation adjustments. For projections also includes contribution from price and exchange rate changes.
4/ Assumes that NPV of private sector debt is equivalent to its face value.
5/ Current-year interest payments devided by previous period debt stock.
6/ Historical averages and standard deviations are generally derived over the past 10 years, subject to data availability.

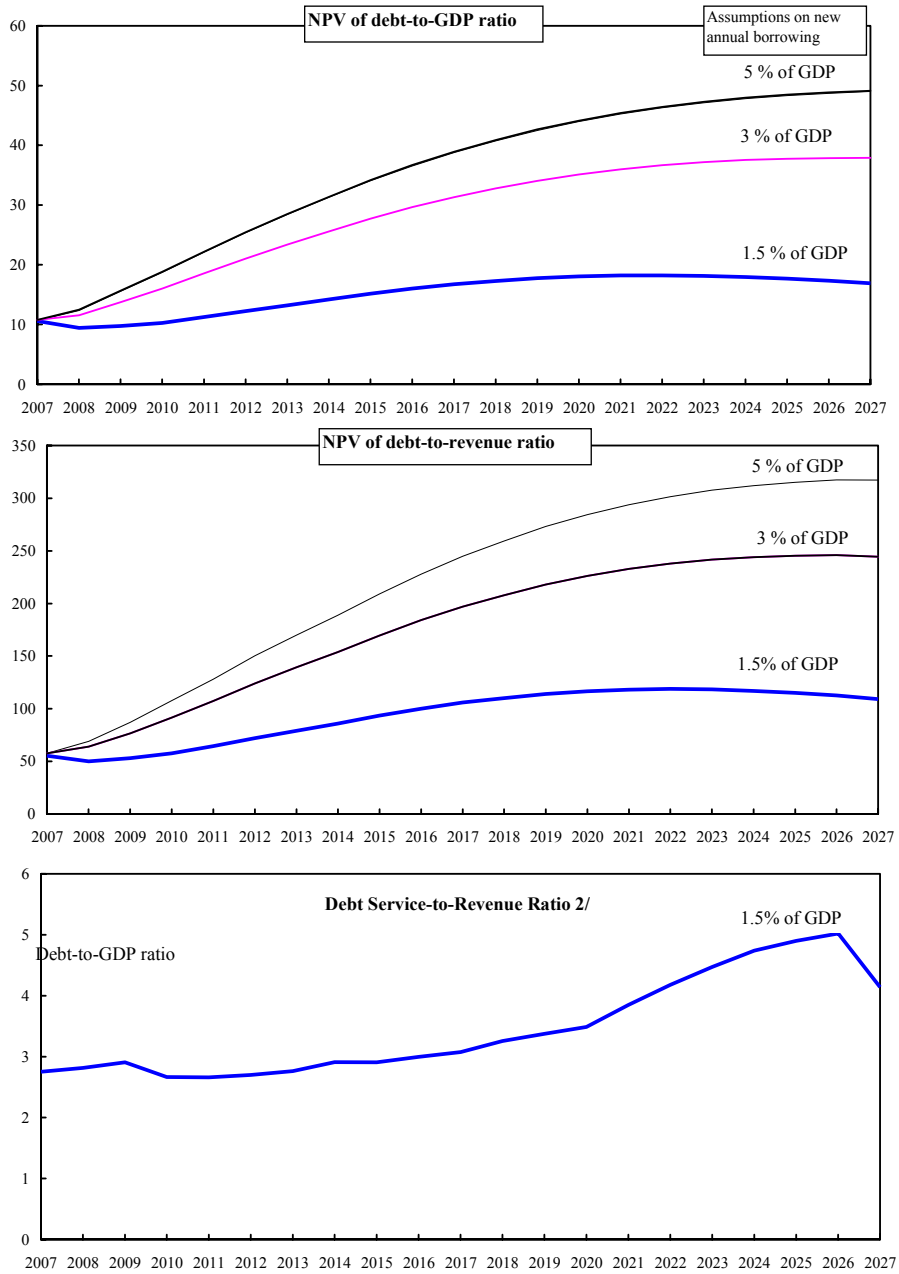
Table 2.Cameroon: Sensitivity Analyses for Key Indicators of Public and Publicly Guaranteed External Debt, 2007-2027
(In percent)

	Projections							
	2007	2008	2009	2010	2011	2012	2017	2027
NPV of debt-to-GDP ratio								
Baseline	3.8	4.4	4.7	5.3	6.2	7.2	11.7	11.9
A. Alternative Scenarios								
A1. Key variables at their historical averages in 2007-27 1/	3.8	2.4	0.0	0.0	0.0	0.0	0.0	0.0
A2. New public sector loans on less favorable terms in 2007-27 2/	3.8	4.7	5.4	6.3	7.4	8.4	12.9	12.2
B. Bound Tests								
B1. Real GDP growth at historical average minus one standard deviation in 2007-08	3.8	4.4	4.9	5.6	6.8	8.1	14.7	19.0
B2. Export value growth at historical average minus one standard deviation in 2007-08 3/	3.8	5.2	6.6	7.0	7.9	8.8	12.4	11.9
B3. US dollar GDP deflator at historical average minus one standard deviation in 2007-08	3.8	4.7	5.5	6.1	7.3	8.4	13.7	13.8
B4. Net non-debt creating flows at historical average minus one standard deviation in 2007-08	3.8	5.1	6.1	6.6	7.5	8.4	12.2	11.9
B5. Combination of B1-B4 using one-half standard deviation shocks	3.8	5.1	5.7	6.3	7.3	8.3	13.0	12.9
B6. One-time 30 percent nominal depreciation relative to the baseline in 2007 5/	3.8	6.2	6.7	7.4	8.8	10.2	16.6	16.8
NPV of debt-to-exports ratio								
Baseline	16.2	19.4	22.7	26.6	33.2	40.3	79.7	99.1
A. Alternative Scenarios								
A1. Key variables at their historical averages in 2007-27 1/	16.2	10.5	0.0	0.0	0.0	0.0	0.0	0.0
A2. New public sector loans on less favorable terms in 2007-27 2/	16.2	21.1	26.2	32.1	39.1	46.7	87.5	101.5
B. Bound Tests								
B1. Real GDP growth at historical average minus one standard deviation in 2007-27	16.2	19.4	22.7	26.6	33.2	40.3	79.7	99.1
B2. Export value growth at historical average minus one standard deviation in 2007-08 3/	16.2	24.5	33.6	37.9	45.1	52.4	90.1	106.0
B3. US dollar GDP deflator at historical average minus one standard deviation in 2007-08	16.2	19.4	22.7	26.6	33.2	40.3	79.7	99.1
B4. Net non-debt creating flows at historical average minus one standard deviation in 2007-08	16.2	22.6	29.2	33.2	39.9	46.8	83.2	99.2
B5. Combination of B1-B4 using one-half standard deviation shocks	16.2	22.0	24.4	28.2	34.6	41.2	78.2	95.9
B6. One-time 30 percent nominal depreciation relative to the baseline in 2007 5/	16.2	19.4	22.7	26.6	33.2	40.3	79.7	99.1
Debt service ratio								
Baseline	1.4	1.5	1.7	1.4	1.5	1.5	2.1	4.0
A. Alternative Scenarios								
A1. Key variables at their historical averages in 2007-27 1/	1.4	1.5	1.5	1.1	0.9	0.0	0.0	0.0
A2. New public sector loans on less favorable terms in 2007-27 2/	1.4	1.5	1.7	1.7	1.9	2.0	7.6	15.7
B. Bound Tests								
B1. Real GDP growth at historical average minus one standard deviation in 2007-08	1.4	1.5	1.7	1.5	1.5	1.6	2.8	6.9
B2. Export value growth at historical average minus one standard deviation in 2007-08 3/	1.4	1.5	1.8	1.7	1.8	2.3	4.0	7.4
B3. US dollar GDP deflator at historical average minus one standard deviation in 2007-08	1.4	1.5	1.7	1.5	1.5	1.6	2.8	6.9
B4. Net non-debt creating flows at historical average minus one standard deviation in 2007-08	1.4	1.5	1.7	1.6	1.6	2.1	3.5	7.0
B5. Combination of B1-B4 using one-half standard deviation shocks	1.4	1.5	1.7	1.5	1.5	1.9	2.9	6.7
B6. One-time 30 percent nominal depreciation relative to the baseline in 2007 5/	1.4	1.5	1.7	1.5	1.5	1.6	2.8	6.9

Source: Staff projections and simulations.

1/ The historical average scenario reflects past current account surpluses, which makes external debt burden indicators unreasonably optimistic.
2/ Assumes that the interest rate on new borrowing is by 2 percentage points higher than in the baseline., while grace and maturity periods are the same as in the baseline.
3/ Exports values are assumed to remain permanently at the lower level, but the current account as a share of GDP is assumed to return to its baseline level after the shock (im assuming an offsetting adjustment in import levels).
4/ Includes official and private transfers and FDI.
5/ Depreciation is defined as percentage decline in dollar/local currency rate, such that it never exceeds 100 percent.
6/ Applies to all stress scenarios except for A2 (less favorable financing) in which the terms on all new financing are as specified in footnote 2.

Figure 3. Cameroon: Indicators of Public Debt Under Alternative Scenarios, 2007-27 1/



Source: Staff projections and simulations.
1/ Most extreme stress test is test that yields highest ratio in 2017.
2/ Revenue including grants.

Table 3. Cameroon: Public Sector Debt Sustainability Framework, Baseline Scenario, 2006-27
(In percent of GDP, unless otherwise indicated)

	Actual			Estimate					Projections				
	2006	Historical Average 5/	Standard Deviation 5/	2007	2008	2009	2010	2011	2012	2007-12 Average	2017	2027	2013-27 Average
Public sector debt 1/	14.3			12.4	11.7	12.4	13.3	14.2	15.0		18.7	16.3	
o/w foreign-currency denominated	5.0			5.6	6.7	7.4	8.3	9.2	10.0		13.7	11.3	
Change in public sector debt	-36.4			-1.9	-0.6	0.6	0.9	0.9	0.9		0.5	-0.6	
Identified debt-creating flows	-10.1			-5.8	-4.7	-2.6	-1.5	-1.0	-0.3		0.4	0.1	
Primary deficit	-5.2	-3.7	1.7	-2.8	-2.3	-0.5	0.4	0.8	1.3	-0.5	2.0	1.2	1.7
Revenue and grants	19.1			19.3	18.8	18.4	17.8	17.4	16.9		15.8	15.5	
of which : grants	0.3			1.3	1.1	1.0	0.7	0.6	0.4		0.2	0.0	
Primary (noninterest) expenditure	13.9			16.5	16.6	17.8	18.1	18.2	18.2		17.8	16.7	
Automatic debt dynamics	-3.6			-0.7	-0.5	-0.5	-0.6	-0.7	-0.7		-0.9	-1.0	
Contribution from interest rate/growth differential	-2.7			-0.6	-0.5	-0.5	-0.6	-0.7	-0.7		-0.9	-1.0	
of which : contribution from average real interest rate	-0.9			0.0	0.0	0.1	0.0	0.0	0.0		0.0	-0.2	
of which : contribution from real GDP growth	-1.8			-0.6	-0.5	-0.5	-0.6	-0.7	-0.7		-0.9	-0.9	
Contribution from real exchange rate depreciation	-0.9			-0.1	0.0	0.0	0.0	-0.1	0.0		...	...	
Other identified debt-creating flows	-1.3			-2.2	-2.0	-1.6	-1.3	-1.0	-0.8		-0.6	-0.1	
Privatization receipts (negative)	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Recognition of implicit or contingent liabilities	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Debt relief (HIPC and other)	-1.3			-2.2	-2.0	-1.6	-1.3	-1.0	-0.8		-0.6	-0.1	
Other (specify, e.g. bank recapitalization)	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Residual, including asset changes	-26.2			3.8	4.1	3.3	2.4	1.9	1.2		0.1	-0.7	
NPV of public sector debt	12.8			10.6	9.4	9.7	10.3	11.2	12.2		16.7	16.9	
o/w foreign-currency denominated	3.5			3.8	4.4	4.7	5.3	6.2	7.2		11.7	11.9	
o/w external	3.5			3.8	4.4	4.7	5.3	6.2	7.2		11.7	11.9	
NPV of contingent liabilities (not included in public sector debt)	...			...	...	...	...	...	...		...	...	
Gross financing need 2/	-4.1			-1.0	-0.7	1.0	1.6	1.8	2.1		2.6	1.9	
NPV of public sector debt-to-revenue ratio (in percent) 3/	67.0			54.9	50.1	53.0	57.8	64.5	72.2		105.9	109.3	
o/w external	18.3			19.6	23.1	25.8	29.6	35.8	42.7		74.2	76.9	
Debt service-to-revenue ratio (in percent) 3/ 4/	4.5			2.7	2.8	2.9	2.7	2.7	2.7		3.1	4.1	
Primary deficit that stabilizes the debt-to-GDP ratio	31.1			-0.9	-1.6	-1.2	-0.5	-0.1	0.4		1.5	1.9	
Key macroeconomic and fiscal assumptions													
Real GDP growth (in percent)	3.8	3.9	1.1	4.5	4.5	4.8	5.5	5.4	5.3	5.0	5.2	5.4	5.3
Average nominal interest rate on forex debt (in percent)	0.5	4.2	2.5	2.5	2.4	2.1	1.8	1.7	1.6	2.0	1.5	0.0	1.4
Average real interest rate on domestic currency debt (in percent)	-2.5	-0.8	1.6	0.3	0.3	1.0	1.0	1.0	1.2	0.8	0.9	0.9	0.9
Real exchange rate depreciation (in percent, + indicates depreciation)	-2.5	-0.7	9.0	-2.9	...	...	...	...	...	...	...	...	...
Inflation rate (GDP deflator, in percent)	3.7	2.6	1.3	1.3	1.8	1.8	2.0	2.0	1.7	1.8	2.0	2.0	2.0
Growth of real primary spending (deflated by GDP deflator, in percent)	5.6	8.1	12.9	23.7	5.3	12.8	7.1	5.7	5.6	10.0	4.5	5.7	4.7
Grant element of new external borrowing (in percent)	0.0	...	...	41.0	41.1	41.4	41.4	14.7	14.7	32.4	14.7	14.7	...

Sources: Country authorities; and Fund staff estimates and projections.
1/ Central government, excludes C2D
2/ Gross financing need is defined as the primary deficit plus debt service plus the stock of short-term debt at the end of the last period.
3/ Revenues including grants.
4/ Debt service is defined as the sum of interest and amortization of medium and long-term debt.
5/ Historical averages and standard deviations are generally derived over the past 10 years, subject to data availability.

Table 4. Cameroon: Sensitivity Analysis for Key Indicators of Public Debt 2007-27

	Projections							
	2007	2008	2009	2010	2011	2012	2017	2027
NPV of Debt-to-GDP Ratio								
Baseline	11	9	10	10	11	12	17	17
A. Alternative scenarios								
A1. Real GDP growth and primary balance are at historical averages	11	8	6	3	0	0	0	0
A2. Primary balance is unchanged from 2007	11	9	7	5	3	0	0	0
A3. Permanently lower GDP growth 1/	11	10	10	11	12	13	18	22
B. Bound tests								
B1. Real GDP growth is at historical average minus one standard deviations in 2008-2009	11	10	11	12	14	15	21	24
B2. Primary balance is at historical average minus one standard deviations in 2008-2009	11	10	9	9	10	11	15	15
B3. Combination of B1-B2 using one half standard deviation shocks	11	9	7	8	9	10	14	14
B4. One-time 30 percent real depreciation in 2008	11	11	11	11	12	12	16	17
B5.5 percent of GDP increase in other debt-creating flows from 2008	11	12	16	19	22	25	39	49
NPV of Debt-to-Revenue Ratio 2/								
Baseline	55	50	53	58	64	72	106	109
A. Alternative scenarios								
A1. Real GDP growth and primary balance are at historical averages	55	44	32	16	0	0	0	0
A2. Primary balance is unchanged from 2007	55	48	39	27	15	0	0	0
A3. Permanently lower GDP growth 1/	55	51	54	60	67	75	114	141
B. Bound tests								
B1. Real GDP growth is at historical average minus one standard deviations in 2008-2009	55	53	60	68	78	88	133	153
B2. Primary balance is at historical average minus one standard deviations in 2008-2009	55	52	48	52	59	66	95	94
B3. Combination of B1-B2 using one half standard deviation shocks	55	49	41	45	52	59	88	88
B4. One-time 30 percent real depreciation in 2008	55	56	58	61	67	74	104	108
B5. 5 percent of GDP increase in other debt-creating flows from 2008	55	66	85	105	127	150	245	317

Sources: Country authorities; and Fund staff estimates and projections.
1/ Assumes that real GDP growth is at baseline minus one standard deviation divided by the square root of 20 (i.e., the length of the projection period).
2/ Revenues are defined inclusive of grants.